DEBT COLLECTION PARTNERS OF CALAVERAS, LLC v REED

24CV47262

DEFENDANTS' CLAIM OF EXEMPTION

On August 17, 2022, a deed of trust executed by Justin Reed ("Justin") and Kristen Reed ("Kristen") was recorded in the Official Records of Calaveras County (the "Trust Deed"). The Trust Deed secured the payment of a promissory note executed by both Justin and Kristen in the initial principal amount of $ 147,000 (the "Promissory Note"). Plaintiff Debt Collection Partners of Calaveras LLC ("DCPC") is the assignee of record for the Trust Deed and the Promissory Note. The Defendants defaulted on the Trust Deed/Promissory Note and as of October 17, 2024, owed $198,268.43 on the Promissory Note.

Prior to this, on June 14, 2023, an abstract of judgment documenting a judgment against Defendant Justin Reed *only* was recorded in the official records. The principal amount of that judgment and the lien created thereby was $2,729,668.86 plus interest and collection costs. ("Abstract Judgment"). DCPC is the assignee of the Abstract Judgment as well.

On October 21, 2024, DCPC obtained a judgment against both Defendants in the amount of $2,927,937.29, which included the amount due on the Promissory Note as well as the abstract of judgment. On October 23, 2024, a Writ of Sale was filed with the Court.

Defendants have each filed their own claim of exemption on the grounds that the property is needed for their support and further that it is exempt under Code Civil Procedure section 704.730 ("Homestead Exemption").

Code Civil Procedure section 704.730(a) provides that the amount of the homestead exemption is the greater of the following:

(1) The countywide median sale price for a single-family home in the calendar year prior to the calendar year in which the judgment debtor claims the exemption, not to exceed six hundred thousand dollars ($600,000).

(2) Three hundred thousand dollars ($300,000).

Under this section, Defendants are entitled to an exemption between $300,000 and $600,000 depending on the evidence and value of single-family homes in the county. Defendants argue, however, that Justin's share of equity in the property is less than the value of the Homestead Exemption.

Plaintiff has filed an opposition expressing the levy is pursuant to writ of sale for a foreclosure judgment on a voluntary lien-a deed of trust signed by both Mr. & Mrs. Reed-not an abstract of judgment. Foreclosures under trust deeds or other consensual liens are not subject to
exemption claims. (Code Civ. Proc., Y5 703.010, subd. (b); In re Pavich (BC ED CA 1996) 191 BR 838, 847.) .

Defendants have provided no evidence to support their claims regarding the amount of equity Justin has in the property. The only evidence the Court has is that the Defendants hold the property as community property with rights of survivorship, that DCPC has a lawful judgment in the amount of $2,927,937.29 against both Defendants, and DCPC has a judgment authorizing them to seek a writ of sale on the property. Additionally, the Court finds plaintiff's position that the levy is pursuant to the lien contained in the deed of trust (rather than the abstract of judgment) to be persuasive.

The claim for exemption is **DENIED**.

The Clerk shall provide notice of this Ruling to the parties forthwith. Plaintiff to submit a formal Order in conformity with this Ruling.

LEITNER-HERNANDEZ, et al v LAKESIDE VENTURES, LLC, et al

24CV47786

PLAINTIFF'S DEMURRER TO ANSWER

This is a real property dispute involving 1475 Railroad Flat Road, Mokelumne Hill, California, 95245 ("Property"). Now before the Court is the demurrer brought by Plaintiff/Cross-Defendant Vicki Leitner-Hernandez ("Vicki") and Miguel Hernandez ("Miguel") as to the Answer purportedly brought by Lakeside Mobile Home Estates, LLC ("Lakeside") and Bonnie Hurley ("Hurley")(collectively "Cross-claimants").

As an initial matter, the Court notes that Lakeside has not properly answered the Complaint. Lakeside is a limited liability company. As such, it cannot represent itself and must be represented by a licensed attorney. (*CLD Construction, Inc. v. City of San Ramon* (2004) 120 Cal.App.4th 1141, 1146.)

The Court also notes that Vicki Hernandez is purporting to represent both herself and Miguel in this matter in pro per. However, Vicki does not appear to be a licensed attorney and as such cannot represent Miguel in this matter.

On March 6, 2025, Lakeside/Hurley filed a notice of filing an Amended Answer which would moot the instant demurrer.

In the interests of justice, the Court will issue the foregoing as a *provisional* tentative ruling, despite the fact that both Lakeside and Miguel are not properly represented. The Court finds that the filing of an Amended Answer moots the demurrer to the original Answer. A final ruling will be delayed until April 16, 2025, in order to allow Lakeside an opportunity to seek licensed counsel and for Miguel to either obtain counsel or enter an appearance on his own behalf.

The Clerk shall provide notice of this Ruling to the parties forthwith. No further formal Order is required.